Nikhil Kamath x Netflix Co-CEO, Ted Sarandos | People by WTF | Ep. 10

[Speaker 2] (0:05 - 0:59)

In what would the three words be? Hi Ted. Hey how are you?

Good.

[Speaker 1] (1:00 - 1:00)

Thanks for having me.

[Speaker 2] (1:00 - 1:05)

Thank you for coming. So you've been in India for 12 hours now?

[Speaker 1] (1:06 - 1:07)

About 12 hours.

[Speaker 2] (1:07 - 1:08)

How does it feel?

[Speaker 1] (1:08 - 1:21)

I love coming to India so much and I never get enough time here. Usually I come and they've got me working and grinding me out and then shoot me back up back in the sky but it's a it's a it's a I love the energy of India.

[Speaker 2] (1:21 - 1:23)

What have you done so far today?

[Speaker 1] (1:23 - 1:31)

Today I came in I met with the ministers and I met I went to the waves conference and spoke on stage and was interviewed.

[Speaker 2] (1:33 - 1:35)

Do you have a favorite creator in India?

[Speaker 1] (1:35 - 2:16)

That's like you know we work with so many it'd be like picking your kids but you know picking your

favorite child almost but I have to tell you early early in coming to India I met Shah Rukh Khan right away early and we just he hosted a very nice little dinner for for me and we just hit it off immediately and I've come back since and my with my wife and we've had a a nice times together. I he we visited with each other in Los Angeles when his son was in school so we got to go out to dinner so going having dinner with Shah Rukh Khan in India is much different than having dinner with him in Los Angeles but so I would say I mean that's probably someone I know the most and really enjoy working with.

[Speaker 2] (2:16 - 2:19)

So you've been at Netflix forever?

[Speaker 1] (2:19 - 2:24)

25 years this this just recently past 25th my past my 25th year anniversary.

[Speaker 2] (2:24 - 2:31)

I have watched a lot of your interviews probably most of them.

[Speaker 1] (2:31 - 2:31)

Sorry.

[Speaker 2] (2:34 - 3:19)

I know read a little bit yeah because we're in the Gates pledge together so we have one off-site we do every year which Gates organizes and funnily enough me and him did a speaking session last year not on camera yeah and I was asking him a bunch of questions on the on a lot of the same stuff like where is content the media space today and where will it be at tomorrow and I've been reading about the story of Netflix and how many pivots you've had from starting off one way to becoming another thing to becoming another thing and maybe you're another thing tomorrow all together again would you like to tell me the story in your words you've been there almost from the beginning

[Speaker 1] (3:19 - 7:13)

yeah I met Reid in 1999 October of 1999 and he I had I was in the home video business for many years before I knew of Netflix because I bought a DVD player I opened up the box and there was a card in there to join this thing called Netflix and you could rent DVDs through the mail not subscription yet in fact you just rent them one at a time yeah and I never thought that's clever you know I thought and I never really thought about it again much and then a friend of mine who I knew through the home video distribution was working at Netflix and Reid was trying to they were trying the business was growing they needed more inventory all the time they had burned through

all the cash and we needed and basically the company at the time was buying all the DVDs from Walmart and Best Buy and that kind of thing and and he really was trying to figure out just how the distribution system worked so this guy Mitch said oh you this guy Ted he just did a deal with the studios where they could we could do revenue share where you don't pay the for the movies they you just pay every time they rent and Reid goes oh we should talk to him so he introduced us and I did what year was this this was a 1999 and I was working for a company called West Coast Video at the time which is like a smaller version of Hollywood or Blockbuster Video you know um and I did these deals for the same reason Netflix needed them we had no cash right business was very bad and he uh so he I did what was my first e-commerce transaction of any kind which was I went and bought an airline ticket to fly to San Jose to go meet Reid and there was a kind of a warehouse you know of an office and I went in and met with him there was very few people in there at the time and he laid out his vision for Netflix which was almost exactly like it is right now um it would be all digital uh there would be no you know the the DVD through the mail thing was just that's the cheapest way to move bits from here to there right now uh it'll take takes a couple of days but it's very cheap and pretty soon the internet will be almost free to distribute on and we'll move very fast and we'll be able to do all this that we talked about it downloading instead of streaming at the time because that's streaming it didn't really quite exist yet um but that's the it would be global because the internet would enable global distribution in ways that physical media would that could never do um and it sounded a little crazy to me uh in October of 1999 because he said that all entertainment will come into the home on the internet you know this is at a time when no entertainment was coming into the home on the internet um but so in hindsight of course it was very visionary I actually just thought he was kind of maybe maybe not uh not fully playing with all my all his marbles maybe uh because in fact I had tried to watch video on the internet before and it's very it was terrible yeah and I just said I didn't see that it was going to get from point a to point b anytime soon and he said to me well there's a thing called Moore's law the internet's going to get fat twice as fast at half the price every 18 months and that's exactly what happened and I um he offered me the job to come to work at Netflix to run the purchasing and programming and at the time I didn't I wasn't looking for a job so I just went back to work and um he offered me the position why purchasing in programming you had no background in that right uh yeah I did at the at the video in video distribution I ran distribution from the studios to the stores and then at the time that I met Reed I was at West Coast Video where I was doing the programming marketing and publicity and all the all the purchasing for the stores he's no longer active is he like when I spoke to him

[Speaker 2] (7:13 - 7:19)

last year he was more like yeah retirement phase yeah he just recently uh stepped down from

[Speaker 1] (7:19 - 8:32)

executive chair to chair of our board so he's very helpful all the time I you know we call him regularly for advice and input I went and visited him at Powder Mountain a couple weeks ago and

right uh and I just had a board meeting with him last week so he's he is an unbelievable resource but um but at the time I wasn't sure if he was a crazy person or if he was the next coming so he um he kept calling though and said you know we we should come work here we were good we're gonna do exciting things and I said look at I'm this you just got me at a bad time and he said why is that and I said that's what I described what was happening at my current job which was the we had bought another company they were both in very bad shape and uh and I was I was renegotiating all my deals with the studios and all these things and he said resistant class agreed he goes it sounds like they really need you there and I go yeah yeah that's what's going on really and he goes well they need you in third world countries feeding starving children why aren't you doing that well that's true I started laughing and I said I'll take the job because I like them I like that I like that approach so that was my beginning and Reed had started the company um with this vision to get there and at the time they were doing all kinds of things they were selling movie posters or transactional rental when I got there they had just started

[Speaker 2] (8:32 - 9:14)

doing the subscription when I got there right so when Reed started the company with this other person Mark Randolph I remember reading the story about them when he came back and took over the company as a CEO Reed had already taken another company public yeah and he asked Mark to step down and took over this culture of hiring testing people quickly yeah and firing either very quickly or the ones that manage to stay in the ecosystem get paid a lot of money it's a very different culture from many other corporations that have been built

[Speaker 1] (9:14 - 10:53)

does that work for Netflix it works very well for Netflix I felt like it was a mostly because it was articulated when you came in and Reed's vision for I remember at the time I joined including everyone who was stuffing envelopes there was probably 175 people and he was talking about talent density being an issue and I go talent density you got 175 people here what are you talking about and he goes I know but we're gonna have these we're gonna have tens of thousands of people and talent density will really matter and and I didn't even really even understand the concept to be honest with you and he said no he said why do these companies these startups that start up and they get great and then they become big fat companies and fail why is that well the bigger you get the further the core people people are working out to get away from the core mission you get hiring people who do didn't start it who didn't it's not their passion maybe not even their core skill and you start building the business so you can accommodate uh people who are not as good as the people you started with right and then so you don't want chaos so you have a bunch of rules and then you start attracting people who like to work in places with a lot of rules and then he said you can um you can idiot proof your business but then you're going to end up with a business full of idiots so the idea was really focused on talent density and tell everybody up front you're going to have this is going to be a great place to work but that bar is going to be

held very very high uh and if you can this is not a family right this is a sports team high performance first team he goes you know you wouldn't throw your brother out right he said but there's no shame of getting cut from a great team you could a lot of great athletes get cut from a great team which is a good way a good an interesting way to think about it is it still like

[Speaker 2] (10:53 - 11:14)

that it's the very opposite of how things work in india because we are largely family-owned businesses so you know the father retires the kids take over the cousins are there their sisters the brothers all of them together i'm trying to like evaluate one versus the other and see what works for one

[Speaker 1] (11:14 - 11:51)

and doesn't for another i mean it depends heavily on what you're doing right so i think that what we were doing depended on an incredible amount of great execution um building things that worked in very you know fixing big hairy problems and for for engineers you had to have a an attractive enough problem for them to come solve and a big enough prize right so if you're doing that and you know they're just going to be competitors and they're going to get good at it you need to be better better at it than they are faster than they are so you know someone has got to be responsible for better faster cheaper all the time and you have to hold everyone's you know to a very high

[Speaker 2] (11:51 - 12:02)

bar to do that right you were always into journalism ted this is what i read that in college you ran the newspaper you were the editor you wanted to be a journalist growing up i did but

[Speaker 1] (12:02 - 13:14)

as a as a kid i really admired journalists i i uh i grew up in phoenix arizona and there's a there was a reporter his name was don bowles and he was doing a story about he was covering the story about the mob the mob in arizona mobsters and he got blown up and killed in his car and i just i remember that vividly that story even as a very young man thinking that's all he had to do was not write that story and they wouldn't have killed him and he had to write the story and i just thought that that that was a level of heroes of heroics that i didn't see in other things so i uh set out to be a journalist and um started writing for the got in the school newspaper became the editor of the school newspaper and then put to two years of community college uh where i also mostly just worked on the newspaper didn't go to class uh so but they i i realized somewhere around my second year of community college that i probably was never going to be a professional journalist i wasn't that good i wasn't that good i don't know how i got that far from age 10 to 19 or so uh without anyone telling

[Speaker 2] (13:14 - 13:34)

me that was just an okay writer and what was the trigger emotion like the hero element of writing about something that everybody is scared to write about is that the hero element or being able to depict an event in a manner that is more comprehensible than most i think um some version

[Speaker 1] (13:34 - 13:39)

of being a real source of truth i think is a real commendable thing in a society why is that being

[Speaker 2] (13:39 - 13:45)

able to tell the truth is there such a thing as truth yeah yeah everything is the interpretation

[Speaker 1] (13:45 - 14:03)

from one lens or another right yeah i mean look at i definitely think that you um can watch two people can watch the same event and see two different things but those something happened and you can explore it from multiple angles but yeah you what you can't do is say that didn't

[Speaker 2] (14:03 - 14:17)

happen right yeah okay so you grew up went to college worked in the school newspaper started working at a rental store met reed started at netflix yeah the guy was funny when

[Speaker 1] (14:17 - 15:00)

the rental store was my first job so i was when i was going to school i was working at the video store part-time that was my part-time job i paid my my i had to pay my own way through school and uh the guy i met but in this in the store it was like a serendipitous thing my my mom we i thought we were poor like i'd always think that i thought because our we lived poorly we had um our utilities would get turned off all the time so we either if we had the electricity on we didn't have the water the water was off the phone was off or one of these things but but my mom always had these like luxury things so she would so she was just bad with money we weren't that poor really but she had like she bought the first person i know who bought a vcr and there was no reason to even own a vcr yet you know there weren't video stores yet

[Speaker 2] (15:00 - 15:20)

so are you the opposite of that are you a frugal person when it comes to family i think um when it comes to family yeah like i feel like whatever my parents were yeah whatever they had excess of as a quality as an emotional quality i might overcompensate on the other end i think when

[Speaker 1] (15:20 - 15:25)

it comes to family i'm generous when it comes to my per me personally i'm frugal like i don't

[Speaker 2] (15:25 - 16:05)

spend a lot on things for myself why why is that i see this in a lot of people where i'm not saying your family is a patriarchy i know your wife is a very accomplished person was an ambassador and all of that but i see a lot of people for the lack of a better word the patriarch the meal breadwinner the primary breadwinner of the family is generally putting on the projection or the mask of frugality is it to subconsciously project onto the other family members that you are doing more by also contributing in that manner

[Speaker 1] (16:07 - 16:37)

is it self-serving you think being everything in life is self-serving yeah do you think yeah i think so i think so yeah look at some of it is role you you think you're role modeling it yeah um part of it is like for me it's like um people who grew up in the depression and they get then they later on have plenty but you still think you could lose it all the time yeah but i mean about like we would we would have these periods growing up where we lived very well went on a nice vacation and everything and then come home and we're broke so it's like this is the sense of that you could

[Speaker 2] (16:37 - 16:43)

lose it yeah it's not never far from me if you were to describe ted the human in three words

[Speaker 1] (16:43 - 17:08)

what would the three words be um i'll go back to creative because i think that's the thing i pride myself on uh uh curious and honest i mean curious you could say searching instead of curious but yeah those are all nice those are all good those are all positive attributes i guess

[Speaker 2] (17:09 - 17:15)

honest about everything i can be one thing that is wrong with the world today

[Speaker 1] (17:15 - 18:18)

uh lack of trust because probably because of the internet i mean just the division of the division of things where you just start um probably it goes back further than the internet obviously it goes back for me growing up in america um this journalist that i that i so admired um they probably started it um by bringing down nixon by telling the truth right which then people stop having faith in systems and hierarchies uh and then so i i often had the arguments with reid when i would said say that when walter cronkite was the news and everybody tuned into the news to hear that from walter cronkite uh that the world was a better place when there was one source of truth even if it was wrong 25 of the time is that happening today people don't believe they don't believe anything

i mean a lot of people don't believe anything and no one believes everything uh and i don't know that we that's made the world a better place in some ways how much of the world

[Speaker 2] (18:18 - 18:48)

today ted is narrative i feel like there is an online world there is a real world and there is another world where our families live in and where we are more ourselves than we are in the other places a lot of perception of how we are viewed in society has become a factor of the online world because everybody's online so much of the time yeah what do you think about that well it's almost

[Speaker 1] (18:48 - 18:57)

like once you and i are having a conversation right now i see the camera right there yeah i know this is going to be recorded and played for other would you say something differently if

[Speaker 2] (18:57 - 19:04)

you could manifest no cameras around and you could imagine that they didn't exist i think i

[Speaker 1] (19:04 - 19:50)

i think i would i mean i think i think i would be material maybe same things materially different right but i but um but i am aware of it and so which changes the dynamic of the situation so so i think that because we're having this conversation and because it's being filmed and it's going to exist on the internet for a long time that people you know people will be slightly guarded and so then therefore i know that when i see anything right on the internet on television anywhere that is slightly manufactured slightly guarded and every once in a while when you see something that is not it's a rev it's it's a marvel it's a revelation when you see something that is authentic and real maybe today is such a day i hope so i think so i will i promise

[Speaker 2] (19:50 - 19:56)

i promise to be yeah so you joined netflix and then you were competing initially with

[Speaker 1] (19:56 - 20:00)

blockbuster blockbuster this is a bigger competitor as we could have imagined when

[Speaker 2] (20:00 - 20:06)

back then yeah how was that how was the journey here is this behemoth which was what a eight

[Speaker 1] (20:06 - 20:11)

billion dollar company back then and what was unimaginable that we could grow to eight billion

[Speaker 2] (20:11 - 20:16)

dollars an eight billion dollar in 2003 is like i don't know a hundred billion dollars today yeah

[Speaker 1] (20:16 - 20:36)

yeah yeah and and they were global they were really the only globe the only thing that we were aspiring to do blockbuster was the only company doing a real global entertainment brand right disney for sure but they were also a very specific narrow niche yeah so when you started

[Speaker 2] (20:36 - 20:42)

delivering dvds to people's homes mail order or whatever it used to take two three weeks is what

[Speaker 1] (20:42 - 21:10)

yeah we had a beginning when we had one center in california and it would take three to five days to get to the east coast and in california got one day service all the time so it took us a while to figure out that the people in california liked it much better than the people in new york so we started opening centers around the country so that we can get the one day service eventually when the at the peak of the dvd business we're doing one day delivery to everywhere in the country

[Speaker 2] (21:10 - 21:58)

and i was reading this case study which said that what did not work for a blockbuster specifically is the late fees and uh i mean there is this guy who talks about daniel kahneman who wrote this book thinking fast and slow who speaks about when you look back at a memory the thing that you remember is the peak pain or the peak joy in the memory yeah the returning a dvd after 10 days and paying that three dollar a day late fee yeah wiped out all the joy of it yeah wiped out all the joy of blockbuster now when you built competition for black blockbuster what did you do to ensure that that peak pain is not there how did you mitigate that so you know back in the we talk about renting

[Speaker 1] (21:58 - 25:15)

and going to the video rental store and i always joke with my kids that's like being a blacksmith that's a job that doesn't exist anymore um but i said that you that business was never a good customer satisfaction business almost nobody who walked in the door got the movie they came for so it became the second choice business i always called it the managed dissatisfaction uh so you a you didn't get what you came for right and then b when you brought it back if you were a day late you had to pay a fee and that's all you remember so now there's nothing about this was great but then you come back friday night do it all over again um so for us we're looking at like

what is the thing uh that people really hate about this and because we're trying to get them to do something completely different and it was that late fee was their biggest counter position which was there's never a late fee because it's just you keep it as long as you want you just don't get another one until you return it and you had three movies at home all the time so you never really had to rush out and make it you can make all your decisions a week ahead and if you give us a list we'll give you everything on your list maybe not in the same order you asked for it but you'll get everything on your list so it took care of the first choice problem it took care of the late fee problem we had everything ever published on dvds so you had the selection and choice and then the really valuable thing was the recommendations that we would help you find something you loved and i'd learned so much working it up for in the first little video store i worked in i learned lessons that i carried into netflix for years um biggest one for me was uh like um trade radius so we we used to buy the movies for the store and i like art films and i like woody allen comedies and uh in arizona it was not didn't it wasn't a lot of fans of kind of new york coastal comedy so i would buy these movies that i loved and i'd say wow we can't we can't support because it used to buy the tape for a hundred dollars and you rent it out for five dollars a night you hope you make enough money to pay the hundred hundred dollars back these tapes would never pay back and it used to make me crazy and i figured out there are plenty of woody allen fans in the country there's not enough in the neighborhood that goes to come to this store so if you had one cop 1000 copies of a movie in a store none of them make money if you had one copy in a thousand stores all over the united states they'd all make money so that was this kind of idea and then netflix became this kind of national footprint inventory so we can support very small niches and that or even more importantly could roll up small niches into big ones so that's a for me was one of the biggest lessons that we learned there the other one was people really cared about this this choice thing they really cared about fight picking something that that and i would always puzzled me because it's a five dollar transaction and people would spend an hour in the store walking and reading all the boxes and trying to figure out and i finally i would start asking people in the store like well why uh why are you spending so much time when you're trying to pick a movie and they said well i like how it makes me feel if i pick the movie and everyone likes it it says a lot about me so there's a whole psychology to how you pick and finding things you like that people value almost as a human being as much as a movie lover is that still true like

[Speaker 2] (25:15 - 25:20)

people feel like they get judged by the content they consume i do it's almost a projection thing

[Speaker 1] (25:20 - 25:47)

again yeah like i think there's there's we used to do this thing uh where you could put your the things that were in your dvd queue you could pop you know push a button and put it on your facebook profile your and there were some people who um wanted you to see their queue and they didn't care about yours at all so that's that that's the thing about it would say something about their personality that you'll think more of me if these movies are good it's a bit like

[Speaker 2] (25:47 - 25:53)

people posting pictures of the books they're reading on social media yeah which they might

[Speaker 1] (25:53 - 26:28)

not be reading yes but in some cases they'd be recommending the book because they've moved them so much or in other ones they might just be saying no look what i'm reading yeah the former might happen a lot more than the latter i presume well the other telling one for us on this one was the movies we looked at how long people kept movies and the movies that stayed out the longest are the ones that people are putting off watching you know so which sat on top of the tv the longest and it was gone with the wind and citizen kane all the greats that they thought they had to watch it should watch right they never got around to them but they liked the idea that they could

[Speaker 2] (26:29 - 26:46)

that's so interesting though even in society today a lot of our choices are less for us but more to fit into the mold of the projection that we are putting out right yeah yeah like i would that is

[Speaker 1] (26:46 - 26:55)

one of the cool things about the internet i think that people were able to find their tribes right you know they were able to find the people who like the quirky thing that i like you know right

[Speaker 2] (26:55 - 27:29)

do people find their tribes are they they have a means of finding the tribe that is cool at that point of time i think yeah they do yeah in a world today where like back then choice and what one should watch somebody recommending that or giving someone a hundred titles or a million titles to choose from was a big thing do you think the world is moving today in a direction where i don't want a million choices i want five choices and i want you to tell me which the five

[Speaker 1] (27:29 - 28:04)

best choices i mean it's part of the bet right is that these kind of helping you pick the worst thing you can give somebody you think the worst thing would be a list of 100 movies but the worst thing is the list of a thousand movies yeah so but actually a curated list of five is unbelievably valuable is that where you might go tomorrow well it is it wouldn't be us doing it so you even in these ways we show you things today we have to have a lot of very high confidence to only show you those things so we'd still show you things that we have lower confidence that you're going to love but but the things that are most prominent are things where the most confident

[Speaker 2] (28:04 - 28:23)

you're going to love what is the win for you like if i am a netflix subscriber i pay my five dollar fee when i land on a netflix screen the home page and you're watching me land there what's the win for you and what is the loss for you is there something you want me to click

[Speaker 1] (28:23 - 29:11)

no we just want you to pick the movie that you're going to really love the thing that we really value is when you push play do you stay so you keep watching it all the way through it's a good indicator that you like it i mean i'm i'm taking a leap that people it's a subscription service there's no extra fee you can turn it off and watch something else but people tend to watch the things that they like more of and then turn off the things they don't so if you're turning it off it was a bad pick and and i think what they find is is that the more and the more we get the right choice in front of you the longer you stay a member so for us a fail might be that people come on and just click all over the place and search and find something that they don't like and push play and turn it off that's a bad we've failed them in that in that transaction in a world where

[Speaker 2] (29:11 - 29:26)

you also produce and curate and distribute content wouldn't a win for you be when i click a i click on a piece of content that you have produced versus sourced it would be financially

[Speaker 1] (29:26 - 29:33)

but not if you didn't like it so i don't want me making you or aiding pushing you towards something

[Speaker 2] (29:33 - 31:12)

you don't like is a very short relationship right so ted most of our audience are people who want to build a business in the space of media and content we cater to the entrepreneur heavy crowd so what i want to take away from today are some great insights of what might be low-hanging fruit to build in media i could be a content creator i could be somebody aspiring to build a platform i could be somebody who is an actor a director somebody who works in the space of media i could be a podcaster a youtuber a independent musician everything yeah so if i were to largely categorize media today i was trying to write down and i wrote down print media what you did first broadcast media what i grew up on tv with pre-programmed yeah news media the news channels big ticket cinemas long form tv shows i mean the tv series sport the theater business gaming reality tv if ted was not part of netflix but you knew all that you have learned in the netflix journey and you had a hundred dollars to invest is there one particular division where you would put your money behind binary hundred dollars you can only put it or not

[Speaker 1] (31:12 - 31:43)

it's just a better or not better yeah what's the what's the goal to make a return to make a return

um i would say that uh producing content today good is you're going to get the great return because the delivery models are evolving so rapidly and the monetization is evolving so rapidly um so which you didn't have streaming as its own separate category there but what i think the great news of that is is that's a viable business model to keep making content to make me keep

[Speaker 2] (31:43 - 31:48)

making programming so that's and when you say make programming are you talking about that me

[Speaker 1] (31:48 - 31:57)

individually say i'm shooting this podcast to me the real the real value is how does it monetize and you can monetize streaming in a subscription service at scale

[Speaker 2] (31:58 - 32:12)

can effectively monetize almost any content so you would put the money behind producing the content and is there a specific kind of content that you think has more tailwind than other kind of content

[Speaker 1] (32:12 - 33:57)

this is the i'm going to give you the cheap answer yeah good you know what i think what people have such crazy diverse tastes right and the things that you like i may not like and vice versa so the good version of what you're setting out to make is always going to work but there's it's very broad so many things that we the fact that squid game would be a global sensation like it is it's completely unpredictable i mean the korea team who picked it yeah they knew it was going to be a big hit in korea they were right and it turns out those things that are big local hits yeah they are the best chance of traveling because they're very very good but this weird you know you you might think well what you ought to do is take a movie and get that guy from squid game and then uh get shahrukh khan and then you get uh brad pitt and put them in a movie together and then you get this hodgepodge thing that no one recognizes it's not familiar to anybody and no one watches it so so this idea of you know authentically local storytelling being the most globally valuable is unintuitive but totally true familiarity is a good thing yeah no i think people will see like i said i think when you watch squid game it's very fundamentally korean storytelling it's you know korean horror it's uh there's nothing about it that is you know the the edges aren't shaved and shaved down at all uh but people see something in it you know class uh fairness although those are very universal themes and they see the universal themes in it you know you think about this idea that how many there's not that many total stories in the world really it is told differently different variants of them uh they're all boiled down to some form of shakespeare you know right there's a movie called

[Speaker 2] (33:57 - 34:21)

kantara i don't know if you've heard of it no i don't know but i don't yeah it's a canada movie where i come from bangalore my hometown it's made there again very folksy very local yeah it's very interesting you're saying that so in a manner you're saying bollywood should not try and sell or make the stories of hollywood and hollywood should not try and make the stories of bollywood

[Speaker 1] (34:21 - 34:43)

right which is not what is happening yeah look i got worried years ago that when everyone was when the china market opened up for america yeah america was making movies for china china's making movies for china who's making movies for america uh so for me it's like this idea that everything has to travel everything has to be big that's why you end up with a dispassionate relationship

[Speaker 2] (34:43 - 35:11)

to movies so local is a very interesting world everybody in this room is at the very core like each one of us deeply passionate about content from a different lens somebody might be viewing it through the lens of sitting behind a camera someone's on audio i might be speaking someone else is doing something so beyond local what else can you tell us long form content short form

[Speaker 1] (35:11 - 35:19)

content movie tv show so i think that things have those lines are all blurring i feel like the micro

[Speaker 2] (35:19 - 35:25)

series was that micro series that's a new word i heard yeah three minute shows one episode a day

[Speaker 1] (35:25 - 36:23)

micro dramas and these things yeah i don't know that that's a it's fun i don't know that that's a business yet um i've looked at it quite a bit i i think that like a documentary particularly is something the way it fails mostly is a short that should have been a feature a feature that should have been a short uh just picking the running time that's appropriate to the story you're telling so the one thing that's great about a series is an eight-hour movie is probably not going to work right but sometimes there's eight hours of storytelling and doing it in one hour bytes or 30 minute bytes is the right the perfect way to tell this story in eight hours and it has to be eight hours you know let the story lead every time and it doesn't matter it could be an eight-hour movie it might work right completely look at the i watched um uh it's adolescence from the uk which is very big big sensation now around the world so if you watch the whole thing it's four hours long it's only 40 minutes longer than the brutalist one movie

[Speaker 2] (36:25 - 36:57)

right can i also say ted it's very impressive that unlike many ceos in your shoes you're not selling the organization you belong to beyond the point you know yeah we interview a lot of people especially westerners who come to india who are constantly going back and following the diktat of the corporation that's sitting behind and it gets boring to people beyond a point yeah yeah it's nice that you're being slightly candid

[Speaker 1] (36:59 - 37:08)

okay so local slightly just slightly for now okay there's room to get better okay i'll take the

[Speaker 2] (37:08 - 37:54)

feedback okay local duration doesn't matter again if i am 20 and i'm trying to build a career in media i am not going to college i'm i've grown up in bangalore or in bombay or in chennai or a city in india if i had a choice to focus on print the newspapers in india join a streaming platform like yours go into trying to join a production company be do something in sport do something in gaming is there career advice you can give a 20 year old me where should i go where could the odds of success be the highest financial success well first of all i think the first thing we try to

[Speaker 1] (37:54 - 38:22)

do is figure out i think the right first path is to get into work for one of the agencies agencies like like uh caa uta these uh agencies who represent talent management you learn more about the business in six months than anyone could teach you whether you could learn in a you'll get one little view of the world in any one of these jobs you're talking about where if you go into the agency business first that's actually the i read his book my

[Speaker 2] (38:23 - 38:38)

yeah that is almost run like a cult their people behave in the very family everybody has the same car in a certain level of management their families live next to each other yeah it's very

[Speaker 1] (38:38 - 38:43)

cultish they do work on percentages though so it's a meritocracy and that you you get you move

[Speaker 2] (38:43 - 39:08)

up the ladder by making more so they work on a fixed percentage even without a contract right they don't sign contracts with the talent right but i actually funnily enough have a small partnership in a talent management agency here called collective i think it's the largest in india i have spent some time in their office i haven't learned much why do you say really well

[Speaker 1] (39:08 - 41:04)

i don't know if the if the if the culture is differently different here than it would be the culture is very similar to the so in the u.s you will be on the phone with them negotiating listening to them negotiate the deal you know the agents their their assistants are on the phones they're actually listening to the to the calls and listening to the details of deals that otherwise they're just trying to scrape you know dig through the trash to read the turn of contracts where i think you can just learn you learn more you're more hands-on you realize why things do and don't work and why deals fall apart all those kind of things and so i think you just get more of a broad picture of the entertainment business and then if you want to get into what you want to do particularly i think you should find the thing that you're really really good at and i think for a way my one of my life lessons back to my journalism versus executive is i was passionate about being a journalist i just wasn't very good at it if i would have i think if i would have been really good at it i would have been even more passionate about it and i would and the reason i dropped out of it even i said well everyone i'm seeing ahead of me none of them are doing very well in in life you know they're working in small markets and working their way up and if you're going to do that you've got to really love it you know struggle for 10 years and do all that and versus if you just find something that you're really good at you will excel and you'll feel good you will get passionate at things that you're good at because you'll be proud of yourself for being good at it and you will excel at those things that you're really good at and you figure that out by doing a lot of different things that's what i mean about the agency giving you exposure to different things that you probably don't know that you're going to love or or that you're good at because you have never because you this is what your 20s are for yeah you know your your 20s try things you go out there if you don't and if they don't work quit or you know or you'll get fired maybe but if you don't if you don't get fired quit and try something else you shouldn't be unhappy at in your 20s you should be moving on to the next thing in your 20s yeah i'm going to digress a

[Speaker 2] (41:04 - 41:18)

bit and ask you a question a lot of people are freaked out by the fact or by the rumor that netflix might soon produce theatrical movies don't the lines get blurred there we're not doing that

[Speaker 1] (41:18 - 41:38)

you know some of our movies go to the theaters just as a tactical part of the release but our business is the subscription entertainment business so the the movies that we produce we produce them for our subscription business and i and i think you know but looking at the box office box office is pretty healthy in in india a little it's down a bit it's not i think it's down

[Speaker 2] (41:38 - 41:45)

yeah even today at pre-covid levels net collections of all theaters yeah in the u.s it's down about

[Speaker 1] (41:45 - 42:17)

20 percent right now but remember ticket prices are up 25 so attendance is way down right uh and i look at that as a sign from the consumers of what they want and because uh average american consumer watches two movies a year in the theater watches seven movies a month on netflix so i take that as a sign that they would like to watch movies at home thank you so if i put them in the theater and then starve them i won't let you see this movie because i have to put in the theater for two months before um i don't know what that says to the people who gave me the money to make

[Speaker 2] (42:17 - 43:42)

a movie in the first place so the there's again another friend of mine called ajay i was an investor in that company for a while uh runs the it used to be the largest chain but now they've combined to become the only chain of multiplexes in the country it's called pvr and inox together so whenever me and ajay catch up i'm always asking him what is next for the theater business uh the penetration of movie theaters in india is far lower than it is in the west even lower than there are fewer theaters much fewer yeah like i would say a vast majority of our country still does not have access to a movie theater the experience where for 20 dollars a movie a family of three or four can be entertained in a safe environment with air conditioning and food if you choose to yeah access food and all of that for three hours or four hours uh it sounds very appetizing to me from an experience standpoint for a vast majority of india but in theory it is not playing out like that maybe because i don't think movie theaters are doing as well as they were doing five or ten years ago and you know it's interesting almost

[Speaker 1] (43:42 - 44:25)

everything else like live events is back bigger than pre-covid live concerts sporting events all these things all bigger so i actually think consumers go to the went to the bring back to the theater and said this isn't much better than watching at home where you go to a concert it's a totally different experience than listening to a cd or you go to you know you go to sporting events way different than watching a football game on television uh and we're seeing the movie for most movies is pretty much it's that much better experience now depending on the size of the theater it may not be a better experience at all no i you see a movie in a big imax room yeah that's something it's the right movie it's mind-blowing i love that that still exists

[Speaker 2] (44:26 - 44:58)

business model yeah have you spoken to ajay the largest multiplex i have not no we don't we don't really distribute theatrically so yeah but again for 20 dollars and a three-hour window yeah barring cricket maybe like somebody sitting at home watching a cricket match or actually watching netflix for three hours or four hours there aren't that many options for families right like if

you had a choice would you buy into a short sale into any theater business

[Speaker 1] (44:58 - 45:27)

today i i don't want to i don't know their business that well yeah it's a high fixed cost business right and that the and there's that the consumers have found substitutes for right um but again i think that there's something that's really wonderful about seeing a big movie in the theater and enjoying it do you go dead i do i do yeah they must just hate you when you get to which was as often as i used to but i because mostly because i'm just not

[Speaker 2] (45:27 - 45:47)

finding yeah the movies that i want to see there anymore yeah the really affluent of audience with the most spending power also because the cost of television has gotten so democratized can afford large screen tvs at home right can't can yeah they can now and it's getting cheaper and cheaper

[Speaker 1] (45:47 - 47:35)

yeah you know it's cheaper to make a large screen tv now than it is to make a phone yeah so i think i think you know people will go up that curve yeah so what's the next big disruption here it's a great question because you know the internet it's going to be tough to find one that's going to be as big as the internet was the disruption to entertainment like it was to many things right um i think it's going to likely to be less likely to be in distribution and be in creativity and you know some ai certainly part of it virtual production certainly part of it uh the way people can create will can take things to a whole different level than they were you know every it's moving very fast too um and i'm not afraid of ai and i hope creators aren't afraid of create of ai because i actually think it's going to make great tools to tell stories even better and make it possible to make movies they couldn't before um and i it not meant won't likely displace the things that humans are very particularly good at performance emotion writing out the things in the writing and the performance but things like uh the technology it takes to de-age an actor those tools that move so fast now that first is five years when we did the irishman that technology was about probably 30 million dollars of the budget was just the technology to do the de-aging and it was very disruptive to the production cycle you know but what actors had to put on their face and all that kind of thing extra camera rigs all kinds of different things uh today we can do that exact film better for a fraction of that maybe the entire we just made a movie called pedro peramore the cinematographer on that film on irishman was the director of pedro peramore he he basically was made this entire movie for less than the

[Speaker 2] (47:35 - 48:01)

than the de-aging budget for the irishman what do you think of a world where ai has gotten to the point where i could just prompt and say that make a movie of ted and nikhil having a conversation

around topics like abcde and it does it so well that ted and nikhil are no longer required

[Speaker 1] (48:02 - 49:40)

what happens then i um it's an interesting hypothetical i don't know that that ever happens i meaning that it's the art of the prompt is also going to be a human skill now you think the prompts become self-training at some point yeah um you know the bigger thing i worry about is that the you put something in and the prompt will spit something will spit something out and you think no not like this like this not like this like this not like that like this whether or not people stop taking the step of of saying not like this and just go with what the yeah but what what was spit out yeah um that that's that would be the danger but it there won't be any need to it because i really think the things that it's going to do is lower the cost of doing things in a way that makes it possible to tell bigger and better stories and then but but still requires people to do that yeah because we have imagination and emotion uh are the things that really the effect what ai is doing today is like the antithesis of imagination it's taking it's giving you the most predictable outcome uh based on these kind of rough ideas you're giving it so that but i think those tools will become very much like visual effects tools or very much like uh computer animation you know you're using the tools to tell the story and express yourself in a way that you couldn't before and i think of the the leap forward from 2d hand-drawn animation to cg animation is much bigger than the leap front we're going to experience with ai and more animators today the films are more expensive actually and employ more people and more creatives and they're better

[Speaker 2] (49:40 - 49:48)

than they've ever been yeah i was watching uh lion king mufasa yeah incredible yeah nick gray yeah

[Speaker 1] (49:48 - 50:08)

yeah remember we were just talking about theaters is it crazy that when my kids are 28 and 30 when they were in very little i took them to see the lion king on broadway and it's looked up recently that thing has made that play has made more money than the film billions of dollars the play the play between the drawing companies everything else it's made i think almost 10 billion dollars

[Speaker 2] (50:09 - 50:31)

yeah if you can invest in just that one tough to call it no like before it happened yeah yeah in terms of live my team was telling me that there was this episode of black mirror which was interactive and you could control the outcome you wanted to a certain extent

[Speaker 1] (50:31 - 50:52)

bender snatch yeah yeah do you think that'll happen i you know it wasn't it was very interesting

and novel yeah um it wasn't huge you know um video games do that so much better yeah you know if you really want to control all your outcomes and and design the design the worlds you're playing in and all those kind of things i think video games is a better outlet for doing that

[Speaker 2] (51:19 - 51:36)

what do tell me what we're eating uh this i think is cottage cheese yeah this this is some kind of peach with sourdough bread okay and this is lamb oh cool i like that okay um yeah so i i mean they

[Speaker 1] (51:36 - 51:40)

definitely i look at things that happen on the tv that compete for time on tv and games are

[Speaker 2] (51:40 - 53:21)

definitely a part of that yeah we can go back to the netflix story so you started sending dvds in a world where vcrs were ruling the roost yeah you went from delivering them in three weeks to deliver delivering them the next day or the same day and all of that blockbuster started to die netflix started to rise when did the switch from sending something physically to almost sending something to someone's home digitally happen and i don't need you to go into the details of this but can you explain to me like i'm a 10 year old boy how the tech behind it works the cost of storing on a server the cost of me making a call from my device that i want this particular video and the cost of streaming it because this i will tell you as a member or as a subscriber of netflix and every other streaming platform there is you guys are doing something right which others have not caught on to like if i were to watch a movie on amazon even the forwarding experience when i go from minute five to minute 30 yeah it is so much more seamless on netflix uh these tiny things like ui i feel are the difference between everything the the tiny stuff can you tell me like broad

[Speaker 1] (53:21 - 56:56)

picture what what does that look like well you got to keep in mind when we started doing this the vision was always to be a digital delivery business so all the work that was going into this all started back in day one um it's the the the the technology itself you know for it's on demand it's streaming it's not downloading it's not mass live so it's really optimized for point to point delivery and the biggest thing that we've put a lot of money and uh and effort into is every device that's connected to the television netflix is individually optimized for that advice for that device so things like early on one of the things we were finding is netflix would work better when your connection is faster and sometimes your connection would slow down on you and the it would start buffering and that's the worst thing that can happen in a stream so they've built in the ability to downshift basically send you a lower res picture for a minute why the why your speed catches up and it all happened in the cache behind the scene so you never felt it so very very subtle very gentle doubt

you know a degradation of picture quality for a few minutes then comes right back so that's stuff we were working on at the very beginning of streaming because they knew that this you know that was not going to be an acceptable way to watch a movie um the the work that goes into picture quality that goes into compression uh that goes into having building uh this open connect system that actually puts the data physically nearer people's prop homes so it's not traveling so far on the internet helps the delivery system content delivery services uh get serve us better and us cheaper to serve us than anybody else but we did all that work and invest in it for almost i would bet ever all the other entertainment companies their second biggest biggest expense is marketing and ours is tech second only to content so the the the model itself is not it's not about whether or not how the technology itself works whether or not it's opt it's perfectly optimized for variable speed variable device variable connection all meant to do the same thing which is not to not to get stuck you know uh and deliver the most high quality experience possible sound and video and audio so we had in the earliest days of netflix we had terrible quality of content the content was lousy what we were streaming we had people doing what they called golden eye test on the stream to make sure the stream looked beautiful because eventually the content was going to get good so i think most people when they saw netflix growing up they thought oh it's that's easy we'll buy some off-the-shelf software and and and stream everyone can stream because youtube is doing it you know that kind of thing uh but the truth of it is it's really hard and it's really complicated especially in a multi-device world and with variable speed and speeds of connection and sometimes you see it break down like on the live of the jake paul mike tyson fight you know we pushed the internet right to the limits that night uh but we learned so much now we got a lifetime of learning that night so that you see the nfl on christmas day trouble free so so to me it's like for us we are a tech company that got into entertainment um we we still have a very much of a tech dna even though we've become primarily a entertainment company but our dna is still very much a tech company

[Speaker 2] (56:57 - 57:07)

so in a way you're you don't have one usb but you have two one is content curation and the other

[Speaker 1] (57:07 - 57:48)

is tech is that right yeah but if if no matter how good the content is if delivery is bad it doesn't matter and then and vice versa is true too so the tech can be beautiful if the content is terrible people still gonna turn you off but tech more important than the content i think i think it's a cost of insurance table stakes the tech has to work better and i think what you just described almost everyone describes to me that yeah that why can't they do it as well as you do why why does it not work when i push play on this one yeah you know so so i met the youtube ceo a couple of days ago neil yeah he's a good man is he competition yeah sure or definitely same thing for time and

[Speaker 2] (57:48 - 57:55)

attention and increasingly for ad dollars because he's doing movies and you will do music at some

[Speaker 1] (57:55 - 58:08)

point right that will do is it yeah no no but you will do there's plenty of music out there it's you know and it's gonna i think it's a very different business model but you will do like

[Speaker 2] (58:08 - 58:14)

podcasts and individual content creators putting up content i think there's a um there's a class

[Speaker 1] (58:14 - 58:32)

of creators on youtube that is pretty close to professional content i kind of think of them as kind of pro-am creators things are doing look pretty great um podcast is a form of users of you know user generated content uh the line between a talk show and a podcast are getting pretty

[Speaker 2] (58:32 - 58:37)

blurry yeah like we have 20 people working on this so i don't know what we are yeah yeah so

[Speaker 1] (58:38 - 58:53)

there's no reason that wouldn't be on netflix yeah i actually believe that uh are it the the that content will better monetize on netflix than it does on youtube not all of it but certain for certain you know creators it certainly would so we'll look we'll look to do that so we don't

[Speaker 2] (58:53 - 59:55)

monetize any of our content we don't have ads we don't have sponsors it's largely like a charity project around entrepreneurship in india but for people like us where we put it freely on everything without ads yeah sitting behind the reach is the most important part yeah sitting behind a platform kind of doesn't make sense because then you can't be on every other platform right so for someone like me say we produce content we don't produce a lot of it but the little bit that do we put that we do put out is great quality and we do it here at wtf which is this channel i have a broking business we produce a bunch of content from there so we have maybe 10 20 different things which are parallelly running at any time to bring that under an umbrella and be able to compete with a larger distributor what do you think we can do is there a shot like if you had to suggest a playbook of

[Speaker 1] (59:55 - 1:00:01)

building why do you want to compete with them why not just co-op them the problem is

[Speaker 2] (1:00:03 - 1:01:12)

while we distribute on them we never know we don't get to touch our subscribers in a way we don't know their names we don't know their email ids we don't know their phone numbers we don't know who they are what is working what is not working like take your example a movie producer who's independent will never have access to the kind of data netflix has access to you might know tomorrow with cameras on television sets or mobile phones that you could probably gauge when the pupils of a certain person dilate when they're watching a certain character do a certain thing in a particular movie so if you don't control the medium you don't access the data in turn you can't it's like trying to compete with 100 the data that someone else has tomorrow youtube will make their own content like netflix makes their own it happens in every industry right you look at a food delivery platform yeah when you don't know who you're if i'm a restaurant and i don't know me never i mean it's

[Speaker 1] (1:01:13 - 1:02:03)

it's an interesting one because i think that business has got content creators willing to give them their programming for free yeah so in one in fact if they start paying for any of it it might screw up the whole system so so that may be the one difference but i do think that there's i think about it in terms of like companies like shopify where companies most of the companies on shopify mostly are also sell on amazon and i have all those dynamics you talk about but they use shopify to present their brand they use it to get learning they all the learns that you're talking about that they're getting from being more direct feeling like they're more direct to consumer and then apply those things to amazon the best they can so they're amazon selling the best they can so i think that might be the same thing with youtube there's a lot of third-party companies that analyze youtube analytics that can tell you all the things that you would know if you owned

[Speaker 2] (1:02:03 - 1:02:10)

youtube but they would never let me touch my subscriber even with the third other things to

[Speaker 1] (1:02:10 - 1:02:15)

do that that's what again what the shopify does yeah it creates creates touch points with consumers

[Speaker 2] (1:02:15 - 1:02:28)

right yeah in fact a lot of the new business models i see on youtube is build distribution on youtube then figure out a way to transition your subscribers out of it yeah and then in turn

[Speaker 1] (1:02:28 - 1:02:37)

you can engage with it's like food delivery right my uh the restaurant in my neighborhood that i

order from all the time yeah started putting a thing in the bag that said you know order from

[Speaker 2] (1:02:37 - 1:03:09)

me directly please you know yeah yeah uh so netflix we had gotten to the time where you spend the initial years figuring out the tech this is after you have solved the blockbuster problem evolved beyond that what happened next you figured out how to stream using technology in a manner that is more convenient faster no latency than the incumbent players or anybody you didn't have any incumbents back then right there was no competition for streaming i mean

[Speaker 1] (1:03:09 - 1:03:43)

we started streaming almost the exact same time that amazon and hulu did right in the u.s so and it started originals almost the exact same time right so we were we were watching how all three of us were running for running for the same prize at that time most of one of our concerns was that hulu did a lot of tv and netflix because of our dvd roots we were kind of known as a movie company and we really wanted to make sure that we didn't become the movie company and hulu became the dvd the tv company so that's why we kind of got into tv at the same time licensing tv shows

[Speaker 2] (1:03:43 - 1:04:14)

what happens to old school tv the tv that i grew up on like the tv where i used to go i still remember i used to go home from school at 3 p.m and watch this particular cartoon called swat cats and powerpuff girls and teenage mutant and i used to watch teenage mutant ninja turtles i remember watching all these indian soaps you know with my mother like late in the night kyunki sasb and all of that what happens to that entire industry i mean i guess a lot of it

[Speaker 1] (1:04:14 - 1:05:00)

shows up in and retro channels i think that there'll be an economic model where we'll have more of it over time these fast services that are mostly ad supported i think those are mostly delivering most of those episodes to people youtube certainly does some of that right so but i feel like there's a lot of different ways to get to it no one's gonna be making shows like that anymore right um which is kind of interesting i i can never figure out why a show that worked for a seven-year-old this year doesn't work for a seven-year-old two years from now yeah but but it's because the the marketplace moves so fast kids now you know mostly want to it's more aspirational so by the time you get to seven now you want to watch what ten-year-olds watch

[Speaker 2] (1:05:00 - 1:05:26)

hmm do you see a shift in content where i know this can't be specific for india and the u.s they're probably completely different but what is working in the u.s today and what is working in india somebody was telling me that crime horror spirituality are ruling the roost in india is that different

in the u.s

[Speaker 1] (1:05:26 - 1:06:10)

it's secular too you know um crime is very big people love true crime i mostly think because people i don't think because people are macabre i think they will like crime because they're puzzle solvers problem solvers they were trying to try to solve a puzzle i think it's very built into our dna to figures in figure things out i think i think of religion is is that uh why did people go west in the united states you know in the u.s when they landed um to get to the next thing if i figure it all out you want to know that how it began and how it ended um and figure out all those things so i actually think people are very curious and that that true crime scratches the puzzle itch that people have but yeah so that's very very universal it works everywhere

[Speaker 2] (1:06:11 - 1:07:08)

so talking about netflix in india specifically i think you have two incumbent i would say for the lack of a better word sport cricket for one of them for disney hot stuff yeah geo hot start now has been a big funnel to get in a large audience cricket is a religion in india if you put ipl on a certain platform it changes everything yeah you have taken a slightly more nuanced approach where you're not taking the very expensive broadcasting rights of a sport but like you did on f1 you create a documentary behind it and it works just as well would you like to elaborate as to why you did that and your thoughts around that

[Speaker 1] (1:07:08 - 1:09:45)

formula one is probably the best example of the theory playing out for me i believe that big sports cricket in in india the nfl in the united states is that those leagues are so powerful the the consumer demand for them is so high they should get all the money so whoever is delivering it it's just a distribution business should be very very low margin just for distribution only so if if i had that game and then next week i lose it it goes to the next person that audience that whole audience can go from here to here so at the end of the day i don't know why you would lose a lot of money on a sport because it's you'll never get to the place where it's profitable so and you probably can't make enough profit on everything else you can lose too much on that sport so one of the tests for for me was to what you just described with formula one we built this show called drive to survive formula one is very popular around the world but weirdly unpopular in the united states we people didn't know the sport they know how it works they know these people it's play it's race the races are in the middle of the night so it just never got popular so we did this documentary series what i loved about the sport and why i thought it'd make great television it's you know beautiful people doing dangerous things in beautiful places you know that's pretty good tv uh and that's what happened i think people tuned into the shows they learned about the the drivers and they figured out how the rules work they got more and more interested in watching races so when the deal came up i thought okay now we have an audience of formula one fans

the the audience has gone up but it's not dramatically it's gone up two or three times though from what it was it was very small the the rights so let's just say i was holding those rights when that contract came up because of all the all the brand building i did for formula one that fee went up 10 times that's that would have been my reward for growing formula one is my fee would have gone up 10 times so i look at it like um big league sports likely the league owners keep all the profits always and you could now what we're doing now our version of this would be something like the nfl on christmas day we actually create a netflix event around it we have back-to-back football on that day we have a beyonce concert in between and it was a real kind of a fun like christmas day piece of programming that's very unique to netflix and that a reason to have netflix is for that day so that's the way our kind of take on it or creating the big sport event ourself like we did with jay paul and mike tyson's right

[Speaker 2] (1:09:46 - 1:10:18)

is that the way me aspiring to create content like you told me earlier that the best low-hanging fruit to build a business in this field is to produce content you've told me go local you've said duration doesn't matter you said familiarity is actually a good thing because people click it if i were to build something around sport then should i look at building a reality show on top of cricket for example i mean it's you've yet to have an interesting

[Speaker 1] (1:10:18 - 1:10:22)

take on it that someone else hasn't yet right but yeah and that those stories there's a lot of

[Speaker 2] (1:10:22 - 1:10:51)

stories to be told this entire subscription model ted like india has struggled with that like i know maybe disney hot star or geo hot star now has 50 60 100 million subscribers who are paying some kind of a fee but i find that subscribing for something is not a easy sell in india uh advertising is

[Speaker 1] (1:10:51 - 1:10:56)

palpable but why do you it is definitely true why do you think why do you think that is it's

[Speaker 2] (1:10:56 - 1:11:53)

something in the culture i don't know like i've thought of this like when we've thought of media business we considered can we have a subscription fee where we charge people every month for a media business that we were ideating when you come down to extrapolating one part of it is affordability i think there might be a 100 or 200 million people in india who can actually afford yeah to spend that premium towards an additional expense in the household right and they have to have broadband at home and big screen tv yeah yeah i would say 200 million but outside of that i feel like culturally we are averse to paying an online fee for something that is recurring in a

manner that the americans

[Speaker 1] (1:11:53 - 1:12:37)

are not yeah the recurring charges was definitely a cultural outside of their cultural norm yeah i don't know how i couldn't understand it either when we first got here i thought who wouldn't want that it's so convenient who why would you want to have to go back and pay in to the credit card every month and then somebody explained it to me they said well it's just it's just that is the cultural norm what if somebody asked you for your debit card right you would say no way yeah yeah yeah because we our first efforts were because remember it was not even allowed to have recurring charges that we said oh we should work with the government to try to see if we can change that or change the banking regulations so we could change that and instead of what instead of saying oh is that what the consumer wants yeah and it turned out you were right the consumer doesn't

[Speaker 2] (1:12:37 - 1:13:02)

yeah i'm trying to figure out what could culturally have made us that way we're a more savings oriented country yeah could that be a reason that you don't the the amount of money in your bank account we pace we place a great degree of weightage in knowing what what that

[Speaker 1] (1:13:02 - 1:13:20)

number is and it makes us feel good i um we don't i don't want to stereotype it but i feel like my experience has been that um the indian people are more mindful of their money than american people are mindful to your point that you know what you have you know what you want to spend

[Speaker 2] (1:13:20 - 1:13:47)

you're more mindful about it and access to credit is lower than it is in america very few people have credit cards yeah you have this plan where you're subsidizing the monthly fee but showing advertising and i read that it's working really well for you yeah and as much as 50 percent of new audiences coming in through that if that were to grow and all netflix has ads

[Speaker 1] (1:13:49 - 1:14:45)

what happens then i don't think there's ever a world where we do all net all ads it's we're a choice brand so um so the folks who really don't want ads there's always going to be an option for them to do that in fact i think that our business will be primarily a subscription for the foreseeable future we'll grow the ad business to be a good part of our business for sure but i think that even even when it's very healthy it'll still be 20 of the business it's interesting because the the ads only model doesn't support the kind of ambitious content that we that we put on yeah um and so the the trick is finding the right balance of ad load and entertainment or where the consumers say yeah i'll

take a lower fee and i'll watch the ads and it's fine or it's like oh we have to put on too many ads to make this even watchable you've seen that i think happen in some other places so you spend more money on content now

[Speaker 2] (1:14:45 - 1:15:01)

than anybody right netflix that puts you in a position where most popular people across the world really won't face time with you likely how does that change the dynamics inside your head

[Speaker 1] (1:15:02 - 1:15:58)

that's good well you know we've been in the it's been interesting because i think when we started out even when we weren't spending as much as everybody else we set out to be kind of artist friendly uh so we had always had a disproportionate draw with talent uh first before was the money it was the better place to work um and for me it's very i think it's very it's very exciting part of the business to be around and working with very creative people so um i don't i don't kid myself but like a lot of like what you said i think uh it's most it's a it's the chair and people want to be whoever's in the chair um i'm glad that today it's bella bajarre and her team and uh who do most of that work today um but i do feel like the you know our ability to help people find a big a big audience is as exciting for me as it is for them yeah but unlike a politician your

[Speaker 2] (1:15:58 - 1:16:05)

chair is almost in perpetuity you don't have a fixed term where you are re-elected right

[Speaker 1] (1:16:05 - 1:16:09)

if things start go if things don't go well long i will see how long that seems

[Speaker 2] (1:16:10 - 1:16:23)

yeah i think it's easier to be oblivious of the chair as a corporate than it is as a elected politician who has to kind of fight for that chair periodically

[Speaker 1] (1:16:23 - 1:18:46)

yeah yeah it's an interesting thing because my life is all is and my wife too our lives are kind of intertwined professionally and personally so the folks that we work with a lot of times are among my best friends um so and i do think there is that that that has that relationship is always in check in that one dimension all the time like you know i don't i don't wonder if that's why we're friends because he because they work here uh but i um but i also don't get my i wouldn't i wouldn't use the friendship to move a business initiative and i hope they wouldn't either yeah yeah your wife used to be an ambassador she was in best u.s ambassador to the bahamas yeah yeah have you been married a long while yet yeah uh 15 years yeah and how did you meet uh we met there on

the obama campaign she was she was the finance chair for california southern california and i was a a guest who arrived for one of the events that she was running i got there late i was the last person to arrive so the very first words my wife said to me was you're late and um i get in there i arrive at the event and there's a place to take a picture within senator obama and then go into the event i get there she goes you're late i go i'm sorry she will take your picture and go get your seat so i do this thing and i get and i go to my table and uh she comes by the table to tell the host of the table if the senator is not coming to your table if you want to meet the senator you got to go to that table so i just leaned into him i go who is this he goes what do you mean he goes i go who is this woman she's amazing and he goes uh how do you not know her this is this nicole avon how do you not know nicole avon and i go i don't know what he goes i'll introduce you to you later so at the end of the night he we left the event and went to a dinner right 10 of 10 people and i'm sitting there talking to my friend lawrence bender who hosted the table and he said um oh here comes nicole um and she came in by herself and she goes you switch seats so you can talk to her she's great and we switch seats and i sit and talk to her we talk for three and a half hours and eight months later we're married wow she's an amazing woman nicole i mean yeah i'd love to meet her yeah she's really phenomenal so netflix in india

[Speaker 2] (1:18:47 - 1:18:58)

you don't have significant market share yet how important is it for you as a market and how are you approaching it like what is working for you in india and what is not working

[Speaker 1] (1:18:58 - 1:20:28)

for you in india well i think to your point uh earlier about the figuring out the good product market fit including payment systems and all those things early on took us a couple of years to get that right um i also think that you know the as the product is ramped up our very first uh indian original show is sacred games and i thought this is going to be great this is they people in india love movies um this this is a tv show that feels as big as a movie has movie stars uh i love the show what was interesting about it is like it was very very novel but i didn't realize that we were going to be like introducing a brand new kind of entertainment to a country the size of india because there was nothing else like it you know that for tv was typically i think would be sports and talk and very not not kind of cinema infused television that we've been doing around the world so for me it was like if i did it all over again would i have done sacred games a couple years later and did things a little some things that were more uh more populist uh programming maybe maybe but we knew that india was going to be um a slower journey to get to where we want to get to but but that it's a great prize at the end of the day so i mean right now you can see how fast indian households are adopting fixed broadband um big screen tvs growing the addressable market in india is uh exploding in the next couple of years so it's exciting and you have three plans in india

[Speaker 2] (1:20:28 - 1:20:40)

the cheapest one with ads i think is about 149 or 199 i can't remember the number are you finding traction at that level most of your traction at that level

[Speaker 1] (1:20:40 - 1:20:45)

no there it's across the it's across all the programs right yeah whatever suits the individual

[Speaker 2] (1:20:46 - 1:20:57)

yeah i don't want to ask you about your sharing password thing because i feel like you guys have talked out yeah you've spoken about it enough and you've taken cognizance of that

[Speaker 1] (1:20:57 - 1:21:11)

by the way it was one of those things where i think allowing it and promoting it even early on it was a good way to promote the business and a lot of people got to try it that way and those things that you know a lot of companies start with free trials in some form and then eliminate

[Speaker 2] (1:21:11 - 1:21:25)

them as you go which is all we did in terms of india any other nuance that you've learned in the time that you've been here that is interesting content in india i think it's interesting to me

[Speaker 1] (1:21:25 - 1:21:57)

like the first thing people want to know anywhere i travel is what do people only watch here and i'm i'm more interested in the opposite like what how are we more this how are we the same and i was very surprised that um how international india is i think there was a belief or a conventional wisdom was that india is all bollywood and india is all local and actually the taste of their international shows play really really well in india so the the taste is very broad and very global so i have a

[Speaker 2] (1:21:57 - 1:23:03)

i don't know much about bollywood like i know a little bit i have a bunch of friends who work in bollywood or in the media or content space uh whoever i ran into over the last week i kept asking them like i'm meeting ted tell me as an industry insider what would you like me to ask him i asked a friend called adar a friend called amrit dinu like a bunch of people hitesh janay people i ran into all of last week each one had a different question almost janay is a younger lawyer uh 26 years old he works in the entertainment zone a little bit but is primary primarily a lawyer he was asking me in terms of content moderation and regulation is there a different benchmark you apply on a country by virtue of micro dynamics in the country like when you're regulating content how do you look at it we try

[Speaker 1] (1:23:03 - 1:23:24)

obviously we program the the sensibilities of the audience but i do think you know we're usually try to be mindful and respectful obviously always follow a local law when it comes to these things around the world and lean into expression a little you know for the protect free speech with of the artist and uh but also don't do things that are

[Speaker 2] (1:23:27 - 1:23:47)

unnecessarily provocative if i get inspired by the conversation i hear today i'm in the audience and i set about ideating what kind of content to build can you tell me one theme that i should build in one specific theme like a micro theme no because i don't think you can reverse engineer

[Speaker 1] (1:23:47 - 1:24:27)

into something that we want you know no yeah no you kind of do you have an algorithm like youtube has one no it's all definitely not on the green lighting no uh the idea really mostly it is the quality of the storytelling is this a world that people are going to want to spend time in are these people people care about do i care how these people what happens to these people let's all stick with and that that is very unintuitive what the what will the what will give you to a get you to a yes on any every one of those or all of those or any of those so for me it's like be careful not to kind of reverse engineer your way into a pitch just you have to write a story that people have

[Speaker 2] (1:24:27 - 1:24:33)

got to see and you've got to make so when netflix is green lighting a project today is it data or is

[Speaker 1] (1:24:33 - 1:24:52)

it gut it's good yeah yeah i mean remember you've got you're picking stories that you're predicting someone's going to want to see you're predicting will this person be able to deliver this vision to the screen have they ever done it before sometimes sometimes they've never done it before so you really are going with the creator betting on the creator and betting on the story that they

[Speaker 2] (1:24:52 - 1:25:16)

pitch to you yeah is there baggage of a founder ted like reid was a fairly popular ceo and founder of netflix yeah when you fill someone's shoes somebody like him this is useful for anybody taking over a company which was run by a very popular magnanimous character what do you have

[Speaker 1] (1:25:16 - 1:28:14)

to watch out for i think you really just want to be yourself don't try to be him because you're not right you're not him um you know he we talked about the succession of the company right reid

talked about it with the board 10 years ago right when i met him in 1999 in a way he was talking about succession he said to me i'm building a company that's going to be around longer than me which which implies succession right so he uh it's always been on his mind he asked me to be the co-ceo with him about seven years ago five six years ago um which was a very unusual step for a founder ceo to take a co-ceo um and but it was all part of his long-term plan which was you know i think that this business he and i read and i had been practical co-ceos before that me doing the entertainment redoing the tech um and then we just kind of he kind of memorialized it by giving me the title uh and i broadened broadened my scope a little bit but i think in his head he said i think this co-ceo thing is the right way to do it and so when we when we when he talked about him actually moving on uh it was the move to another co-ceo me and greg peters uh in in very similar model that i have than we have with reid but neither of us we both have our strengths we both have our weaknesses neither of us are reid and we don't try to be do you think that's a good idea having co-ceos i'm just like it's very odd it's odd that it doesn't because it doesn't work in many there's a lot of stories where you can look back and there were three co-roman emperors that didn't go very well but if you look back and at the the track record of the co-ceos and it's spotty but i think where it really works well here is we do two very distinctly different things we manage two different distinctly different cultures inside the business with tech culture and entertainment culture we're even physically in two different places in california um and it enables us to be to bring out the best in ourselves in the in the things that we do provide technical guidance and inspiration for people in an area that we're not where we have our sea legs um and i think it helps for recruiting uh people want to work for people that know what they're you know what they're doing in the area that you're coming to work for us on um so and and i think it doesn't it may not work at every company that does what we do even because i feel like the company is inherently free of politics um all the things in the culture deck we're not greg and i wouldn't back stab each other in the back for this job we both want this thing to work forever the same way i didn't want reed to leave yeah so um so i really think that it'll be it uniquely works at netflix and it may not work at every company but i think it's worth always checking it out and testing the model out and see you have to people who respect each other two people who like working with each other two people have a

[Speaker 2] (1:28:14 - 1:28:45)

unique and complementary skill sets if i were to put myself in your shoe when one person leads the company to as much success as netflix has reached a lot of my validation will come from the chair the position that i hold in that company at that point of time is it the sign of a great leader to be able to let go of your source of validation while you're getting your validation

[Speaker 1] (1:28:45 - 1:29:13)

remarkable right i mean no reed's not old yeah yeah yeah he's like into sports and he's doing this that in the end and he set up and he set the company up better than he found it and you know but then he started it yeah um he he was confident comfortable and confident much of his net worth

is wrapped up in the stock and so he has a lot of skin in the game whether or not that we we make this work or not yeah uh and he was very clear he goes i don't want to come back

[Speaker 2] (1:29:15 - 1:29:46)

the question i ask myself is i'm 38 today today's your birthday no no oh okay 38 now wow you chose tonight okay no i'm 38 now and how much of a role does the little validation i have affect my overall mental well-being and how much will go away if that were to be taken away

[Speaker 1] (1:29:47 - 1:30:09)

it's an interesting thought yeah yeah i mean there there are so many people who identify themselves so much with the work yeah someone said something to me one time that they would be more embarrassed to fail a business than to fail in their marriage i think so a hundred percent for you that's you yeah that's not me but i i know a lot of people for for whom that's true

[Speaker 2] (1:30:09 - 1:30:34)

yeah all my validation comes from work i don't have much else where i'm getting the very tangible societal validation coming my way a lot of people talk about how talk about balance and talk about your life is fulfilled when you have a b c d e in equal

[Speaker 1] (1:30:36 - 1:31:06)

that's a fantasy though yeah right yeah yeah yeah there's never a balance nobody has that people like this perpetually way out of balance people who say that are like just saying that yeah i think it or maybe it's just aspirational that they seek life life work balance but there is no such thing yeah it's an exercise in futility to try to chase it yeah in fact it's probably you're probably short-changing one or the other all the time yeah uh if you're if you're trying

[Speaker 2] (1:31:06 - 1:31:12)

to get that yeah i always feel like i'm letting someone down yeah right yeah yeah it's either

[Speaker 1] (1:31:12 - 1:31:16)

that phrase that like life work balance was designed to make you feel bad

[Speaker 2] (1:31:16 - 1:31:26)

yeah are you hard on yourself yeah very yeah in the work realm or in the family realm i think both

[Speaker 1] (1:31:27 - 1:32:13)

um i probably um it's my my kids now are adults so there's a it's the there's less of the those kind

of trade-offs that you make in business business for family life um but i um i always felt very guilty about the trade-offs you make even though you've convinced yourself well i worked this hard to provide for this family so we could be this so we could do this so we could do that and we could do this uh but ultimately there's you know probably they would have preferred the time what do they do ted um my daughter is a producer a film producer um just produced a movie called bunny that uh premiered at south by southwest and it's going to be at the tribeca film festival next month um and my son is an editor film editor so both in the business any indian editors

[Speaker 2] (1:32:13 - 1:32:21)

producers actors that really stand out for you from the exposure you've had to india such a

[Speaker 1] (1:32:21 - 1:32:25)

hard question because i you know i just don't want people to say well what about me

[Speaker 2] (1:32:28 - 1:32:35)

can you name one individual just one person who has left a lasting impression on you

[Speaker 1] (1:32:35 - 1:33:45)

in the entertainment industry in india doing her era monday it was probably one of the most like creatively interesting projects i've ever worked on in india um i was involved in the green light meetings for it he came into the to la to do the pitch who are you talking about sanjay leela yes yeah uh he came in with this very big vision and i think i think he almost like it was a dare like i dare you to make this it's so big and remember he's a cinema you know he's a cinema legend so he the idea that he was gonna make a tv show is almost unheard of and i almost think he wasn't gonna i thought he when he came for us to say no um and then when he said when we said yes there was a long delay there was a lot of delays it was a complicated production he did things uh built these enormous practical sets that we shot on it was something beautifully old-fashioned about every element of the production uh and i was just he was so proud of and i was so proud of him um and it was just such a great that stands out to me as a real reflective of the indian love of cinema

[Speaker 2] (1:33:48 - 1:34:03)

try yeah this is i think chicken pulao pulao is like biryani but slightly different yeah this is crazy spicy if you want to try you can tell they put it only to you

[Speaker 1] (1:34:04 - 1:34:09)

can you take spice i'm gonna wait yeah i'm gonna push myself

[Speaker 2] (1:34:10 - 1:34:41)

now so you've done some like really spectacular green lighting of projects that nobody would have thought were reasonable things like korean shows squid games money heist there's so many in your list i don't know where to begin and where to end what is that skill set that allows you to make these choices that other people have not been

[Speaker 1] (1:34:41 - 1:36:10)

able to make i think a lot of you have to remember a lot of the things that um many things we passed on go on to be hit somewhere else so don't not like you get not like your track records all that clean um i remember a lot of those shows are not didn't turn out to be the show that was pit being either so there's some of that goes on but i think it's going being able to uh have a little be a little more daring about not being afraid to fail the the culture kind of instills that in us to take big swings and not being afraid to fail learn from the failures and move on um the other one is is not being stuck in this thing didn't work 10 years ago so i'm never going to do that again so i didn't have a lot of guardrails around the decision making that way and a lot of and i think some of it is like that i talked about earlier about this general curiosity and to have some good judge of character of the people who are pitching whether or not they can actually do this thing that they're talking about um the duffer brothers when they came in with with stranger things that's an example i think of a show that they have never done anything that big they made one a small movie for warner brothers before and they directed some episodes of a tv show before and so we're giving them this enormous budget to make this enormous scope show and when you watch this little tiny movie that they made for um for for warner brothers and said oh wow if they can make this on that little tiny budget we got this we got

[Speaker 2] (1:36:10 - 1:36:17)

this so so if i want something to be green lit by you should i make like a demo tape is that the way

[Speaker 1] (1:36:17 - 1:37:15)

well i probably won't do it you probably go to one of the people's many other people on the team yeah before we get to me but a lot of the people do all kinds of pictures monica in india monica in india that um but the way the people come in all the time but sometimes it's with a complete episode written sometimes it is just a pitch and a look book and uh storytelling i i love pitches the one thing i miss the most in being the co-ceo now is i don't get to hear many of the pitches anymore and i loved hearing pitches i've seen some of the best pitches for some of the worst shows and some of the worst pitches for the best shows so it's a i i'm always amazed that nobody teaches anyone how to do great pitches there should be a whole college course on just pitches because i mean that's the make or break thing when you walk into a room and i've seen people walk in the room with a great show and just read it off the page to you while you're like sitting like this and they're just reading to you um if i had to pick one thing over another

[Speaker 2] (1:37:15 - 1:37:29)

say i'm going to pitch to monica and hopefully she's tough would i do better with a look book a script for an episode or a demo three minute video of

[Speaker 1] (1:37:29 - 1:37:46)

the look and feel of the show i bet with monica you do better with the script yeah she's like i think she wants to know that you're committed and that you're you're going to deliver and that you're in right i'm guessing for you and her now

[Speaker 2] (1:37:49 - 1:38:31)

this is delicious you like it are you a rice fan do you like rice yeah as a carbohydrate yeah so picking a micro culture like the korean stuff before it has blown up and making it mass how do i learn to do that say for example i have to make the decision on producing or not producing a b c and d somebody comes to me with a korean drama five years ago and says we should do something like this i'd be like heck no what skill set do you have that allowed you to make that call and how

[Speaker 1] (1:38:31 - 1:40:05)

can i inculcate it i think it goes back to the video store the beauty part of working in a video store they're empty all day all the business happened after after work so all day i watched everything i watched everything in the store so one thing that i have that some people don't is i've seen almost everything so when someone comes in with an idea or a pitch i already have some framework where i've seen it before where it's worked what didn't work about it not just an american film so when when we did a in korea before parasite we made bang joon-ho's movie called okja and i was very familiar with his work i've seen all of his films before and he was um i remember that where he was in his life at that time he told me a story that there was a box set of korean movies on dvd that martin scorsese did the director's commentary on and then he's talking about movies in korea and he was and he and he bang said martin scorsese said my name he got very excited to tell me that martin scorsese said his name and i said have you never met martin scorsese he goes no so i introduced them and had set it up so that bang could go to his home and they went and spent the day together and it was really exciting but again i i think when bang was out pitching that movie a lot of people did not know him and his work outside of korea um he was you know an incredible an incredibly well-known director particularly in korean horror um so but again you kind of you you gotta have some frame of reference so does

[Speaker 2] (1:40:05 - 1:40:09)

familiarity play a part in that you've seen something similar which has worked so you will

[Speaker 1] (1:40:09 - 1:40:30)

like something similar i think it's just martin scorsese said that all movies are in conversation with each other so you have to watch a lot of movies to understand what the connection is you know this is like that but it's not really like that you know it's this but it could be a little more like this but that that will never work in india but it works well in korea you

[Speaker 2] (1:40:30 - 1:41:06)

know those kind of things and what does well or does not is it a factor of reading the room like reading what is happening in society today or is it about the quality of content like we're in a world where i don't know left is going right and the politics are changing capitalism and the way we view it is changing so much is changing yeah youth sentiment on social media is changing does that define what will work or not tomorrow will it be the quality of content the reason it's so hard

[Speaker 1] (1:41:06 - 1:41:32)

to predict is because sometimes it changes because of what's happening in the culture and sometimes the exact opposite meaning that because things are so x because things are so black people really want white now or because everything's black everything must be black so i i do think that there's a almost impossible to predict nature of how society will react to what's happening in

[Speaker 2] (1:41:32 - 1:42:17)

society far enough in advance to get something made another thing that is big for netflix is dei you have people of different race religion spread across ethnicity spread across different parts of netflix from green lighting to leading different roles and all of that is it working is like the popular narrative as an outsider sitting in india when i hear about what is happening in america everyone's talking about you know di having caused the issue in some college and how it's not necessarily the best thing for business is di netflix helping netflix

[Speaker 1] (1:42:17 - 1:42:45)

produce better content and be a better streamer well look we're telling stories for 700 million people around the world we need the people who are picking them to people who are making them people are promoting them to be a lot like the audience that they're serving so that diversity very much plays into our success so i and there i don't believe that there's any conflict with getting the best person and having a diverse workforce for a long time you sat on the very

[Speaker 2] (1:42:45 - 1:43:14)

top end of indian streaming by top end i mean you cater to the not completely but to the english niche audience and you were the most expensive of services off late you're getting very popular

shows uh like kapil sharma and i heard something about cid these are more domestic language talk shows in a way uh can you be both can you sit on that end

[Speaker 1] (1:43:14 - 1:43:35)

and end on the same i mean that's the beauty of the personalization work that we've been doing since the company began is we're not doing those shows instead of doing these other shows we're doing those in addition to them so that if you like these kind of shows and that's what you'll see on netflix and if you don't you'll see other things so um we're broadening the offering not

[Speaker 2] (1:43:35 - 1:43:46)

narrowing it to something else what is what is working like all the data you have on india now which is significant in all the time that you have been here can you tell me some non-obvious

[Speaker 1] (1:43:46 - 1:44:33)

insights you have learned that i won't know i i'm sure that you would probably be the the international performance of kind of programming from japanese anime uh to turkish soaps to all kinds of different things that you would not expect would work very well in india work very well is that we don't speak the language i i i think for some reason and you probably understand better than i do the audience has got very is very hungry for diverse storytelling from around the world they love bollywood they love south indian action movies they love all those all local content for sure but far more adventurous as viewers than i expected could it go back to

[Speaker 2] (1:44:33 - 1:44:38)

the projection lens that people want to show you what they're watching so that they can speak about

[Speaker 1] (1:44:38 - 1:44:51)

the fact that they watch the korean i don't know maybe to each other maybe to each other but i don't think so i think that's what they like again they would turn it off they give it you know what i mean they would just hit play for a minute then turn it off uh because but honestly they're watching

[Speaker 2] (1:44:51 - 1:45:06)

and loving content from around the world uh i watched this interview of yours where the journalist was telling you you're killing hollywood and you were talking about how you're saving hollywood

[Speaker 1] (1:45:06 - 1:45:50)

yeah explain you might be saving i can't explain why he said you're killing but yeah i think saving

is look at what we're doing i mean we're continuing to be able to create an environment where we can get films made and tv shows made um and doing in a way that i think what's what i think is killing hollywood is where people forgetting the audience and and for us it's like we're obsessed about on the audience and serving them how they want the way they want the content they want the programming they want and doing it really well and it's like and the the numbers speak speak for themselves where people are what they're doing what they're not doing um and so i think we're onto the right track by listening to customers like listening to the to the audience what do you think happens

[Speaker 2] (1:45:50 - 1:46:05)

next in the podcasting world the independent content creators who are not not sitting behind any organization yeah how does that world evolve does netflix start competing there look i think

[Speaker 1] (1:46:05 - 1:46:48)

the more podcasts become forward video forward um and people are watching on tv which they are more doing more and more frequently it's very likely that a lot of those will could end up on netflix not all of them but i do think that but there's a there's a place on netflix for them and where they could we could out we could monetize better than it being out everywhere else where they uh you where you find podcasts because we have a big enough distribution platform to bring most of the audience to you the same way so possibly we're looking at all of them so i'd say the um the breadth of places that we're looking for new storytelling and new creators uh is bigger than it used to be it's not just film school it's not just a film festival a lot

[Speaker 2] (1:46:48 - 1:46:53)

of times it's youtube and tiktok and instagram are they eating up a lot of the mindshare that

[Speaker 1] (1:46:53 - 1:47:17)

used to go to fiction no um i don't know what they're trading off for so like our we're not dropping and they're growing um it could be that they're just accelerating the decline of linear television uh which it wouldn't be a bad thing for us um so but i do think what people are using the tv for is very interesting how evolved it just in the last couple of years a lot of people

[Speaker 2] (1:47:17 - 1:47:40)

tell me ted that the youth have no patience they're dead scrolling all the time and their ability to do one thing for a prolonged duration is limited but then i know many many young people who are watching 10 hours of a netflix show without a break or maybe 15 or 20 hours yeah

[Speaker 1] (1:47:40 - 1:48:02)

i was right i i have not given up on the attention span of youth that when squid game drops they're gonna stop everything they're doing and watch squid game in two days yeah so is it increasing or decreasing i think you have you got to entertain them you have to be we have to be more entertaining than dead scrolling binging it you have to out binge dead scrolling death

[Speaker 2] (1:48:02 - 1:48:08)

scrolling is like short-term spurts of dopamine right yeah what chemical is netflix catering to

[Speaker 1] (1:48:08 - 1:48:45)

when you're watching a 10-hour show i like i think if our common references as a culture are memes yeah that's depressing to me they're throw it because they're throwaway you know i mean you would know people of a certain age don't even don't won't even know the things that you and i were talking about tonight so i i feel like what's great about it is is that we're getting into their soul getting into their heart getting into their you know into the into their own experience the way that you think about a movie that you grew up with the way i remember seeing jaws at 10 years old in the movie theater people screaming popcorn flying in the air that's that's part of who i am and that's what we're trying to we're tapping into that you have an interesting

[Speaker 2] (1:48:45 - 1:48:52)

marketing strategy where you where you produce content to market content does that work when

[Speaker 1] (1:48:52 - 1:48:59)

oh i mean producing like a podcast to promote a show yeah definitely yeah why does that work

[Speaker 2] (1:48:59 - 1:49:05)

versus say a billboard or a hoarding or i think it works in conjunction with all those things it

[Speaker 1] (1:49:05 - 1:49:26)

does not in place of so there's you have to touch you have to have a lot of touch points to get in the culture these days there's a lot of things competing for your attention so sometimes if you're really deep in your big podcast listener or watcher uh and we have a and you're also a true crime lover that that true crime podcast about the show upcoming it's a natural right

[Speaker 2] (1:49:26 - 1:49:54)

and that works so if i made content if i produced a 10 part one hour series about something let's say about the financial markets what would my go-to strategy be see i've met monica and you and you guys have green lit it you're paid for me to produce it everything is done i need to create a buzz about it because it's coming on netflix's home page tomorrow yeah where would i go like

[Speaker 1] (1:49:54 - 1:50:20)

luckily you have a great following of entrepreneurs right so if if you make a show like that and it doesn't appeal to your base yeah it's doomed so you can go i mean i mean not for me specifically no say you someone like you you go out to your base yeah if it's huge or if it's even small and then they have to have that echo and get larger and larger do you think any competition

[Speaker 2] (1:50:20 - 1:50:32)

could come for youtube instagram twitter i know each of them do a different things but are you seeing something that i have not seen in terms of competition

[Speaker 1] (1:50:32 - 1:50:37)

they all have these things all have life cycles yeah you know remember my space

[Speaker 2] (1:50:38 - 1:50:44)

any that you think is nearing the end of their life cycle that that i can't call that i can't

[Speaker 1] (1:50:44 - 1:50:56)

call them they've critic the global critical mass that exists today for for uh for tiktok for instagram for youtube is pretty tough pretty tough to not to challenge gaming we didn't speak

[Speaker 2] (1:50:56 - 1:51:05)

about this you're planning to set you're planning to bring in a lot of gaming and ott yeah can you elaborate how will that work yeah because the tv remote is a very inconvenient way to play a game

[Speaker 1] (1:51:05 - 1:51:30)

yeah so a lot of it um was coming in where you just play play on your mobile uh that's part of your subscription uh and then now we're optimizing some of the games for tv as well and including a multi multiplayer party games and those kind of things too so it's basically meant to be like you've asked earlier about these games compete with netflix sometimes and it competes for time and energy and screen time so when we want to have be part of that with uh with those people

[Speaker 2] (1:51:30 - 1:51:34)

who love gaming and this wouldn't be large triple a games they would be like the light

[Speaker 1] (1:51:35 - 1:51:55)

a little bit of both i mean we've you know we've licensed a lot of large triple a games that are in

the program now uh grand the grand theft auto games by way of example they do very very well uh and then these other there's other like mostly like games for younger people puzzle games all kinds of games just like netflix itself with the way we have documentary and film and television

[Speaker 2] (1:51:55 - 1:52:13)

foreign language yeah yeah i don't have any questions per se dead any fleeting thoughts like anything you'd like to say if if you were to presume for a second that you're talking to a 20 year old indian boy or girl who wants to start a business in media content

[Speaker 1] (1:52:13 - 1:54:01)

and anything you'd like to say to them i i think that young people you said they're a short attention span i do think they're impatient um and i do think that a lot of these a lot of media jobs particularly um if you're going to start a media business you to be very successful you're going to want to know how to do everything that everyone's doing and the best way to do that is to start at the bottom put in the time and work for work at a company be a production assistant on a film go get coffee for a writer's room to all those kind of things that you didn't think you wanted to do but if you want to do a run if you want to run a business in this part you're going to have to learn how all those things operate and how all those people work if you want to be successful and the best way to do it is to do it and this is the beauty of being young is you put in a little bit of time and figure out as soon as you learn what you need to learn as soon as you find that this part may be by the way you may discover the avenue that you really been looking for all the all along by spending that time when the writer's room were on set or in post production or the vfx house as an assistant where you have opportunity to learn and be mentored so i would say don't be impatient take your time learn the roles learn the jobs learn the people who do those jobs and see if that's really what you want to do any feeding words for india in your very short visit here every time i'd say for 10 years uh i've heard that india is two years away yeah and i feel like it's never been more true right now i mean it just feels like they're india's on a precipice of something very big uh and this is probably the most exciting time uh that i've been aware of in india's history done all right thank you good time

[Speaker 2] (1:54:01 - 1:54:17)

thanks everyone thanks you have fun yeah very much yeah Shahrukh directs movies as well so you're talking about the sun so you guys bought the show yeah

[Speaker 1] (1:54:17 - 1:54:37)

yeah you're producing it aren't you yeah yeah very fun i've watched the first two i watched the first two episodes so far what do you think of it very funny it's kind of like you know um people i think people in india and people outside of india know nothing about the inner workings of so it's a really fun world yeah no sweet guy he's a good director he's a very good director